

SBA 7(a) LOAN AGREEMENT

U.S. Small Business Administration Guaranteed Loan

Dated: As of September 5, 2023

GREENLEAF HOSPITALITY GROUP, INC.

("Borrower")

and

PATRIOT COMMUNITY BANK

("Lender")

\$2,800,000.00 SBA 7(a) TERM LOAN

SBA Loan Number: 3214567-09

SBA NOTICE AND ACKNOWLEDGMENT

THIS LOAN IS MADE PURSUANT TO SECTION 7(a) OF THE SMALL BUSINESS ACT (15 U.S.C. § 636) AND IS SUBJECT TO THE STANDARD TERMS AND CONDITIONS OF SBA FORM 147 (NOTE) AND THE SBA AUTHORIZATION AND LOAN AGREEMENT. IN THE EVENT OF CONFLICT BETWEEN THIS AGREEMENT AND ANY SBA REQUIREMENTS, SBA REQUIREMENTS SHALL CONTROL. BORROWER ACKNOWLEDGES RECEIPT OF THE SBA NOTICE TO BORROWERS.

ARTICLE I — DEFINITIONS

"Authorization" means the SBA Authorization and Loan Agreement issued by the SBA in connection with this Loan.

"Collateral" means (i) first lien on all business assets including equipment and furniture; (ii) assignment of life insurance on principal with face value of not less than \$1,400,000; (iii) first deed of trust on Borrower's leasehold interest (if applicable); and (iv) personal guarantee of all principals owning 20% or more.

"Guarantors" means Patricia Greenleaf and James Greenleaf, individually, each owning 50% of Borrower.

"Loan Amount" means \$2,800,000.00.

"Loan Purpose" means: (i) \$1,800,000 for acquisition of restaurant and catering equipment; (ii) \$600,000 for leasehold improvements at 3 locations; (iii) \$250,000 for working capital; and (iv) \$150,000 for refinancing existing business debt.

"Maturity Date" means September 5, 2033 (10-year term).

"Maximum SBA Rate" means, for variable rate loans, the Wall Street Journal Prime Rate plus 2.75%.

"Prime Rate" means the rate published in The Wall Street Journal as the U.S. Prime Rate, as adjusted from time to time.

"SBA" means the U.S. Small Business Administration.

"SBA Guarantee" means the SBA's unconditional guarantee of 75% of the outstanding Loan balance (i.e., \$2,100,000).

"SBA Guarantee Fee" means the one-time guarantee fee payable to the SBA of 3.50% of the guaranteed portion (\$73,500).

ARTICLE II — LOAN TERMS

Section 2.1 The Loan. Subject to SBA Authorization, Lender agrees to make a term loan to Borrower in the Loan Amount for the Loan Purpose only.

Section 2.2 Interest Rate. The Loan bears interest at a variable rate equal to the Prime Rate plus 2.75%, adjusted quarterly on January 1, April 1, July 1, and October 1 of each year. As of the Closing Date, the initial rate is 11.25% per annum. The maximum rate shall not exceed the SBA Maximum Rate. Interest is calculated on the actual outstanding principal balance on a 365-day year.

Section 2.3 Repayment. The Loan shall be repaid in monthly installments of principal and interest over the 10-year Loan Term, based on a fully amortizing schedule. Monthly payments are due on the 5th of each month. The initial monthly payment (at 11.25%) is approximately \$38,742. Payments adjust with each rate change.

Section 2.4 Prepayment. Pursuant to SBA regulations, if the Loan Term is 15 years or more, a prepayment penalty applies. Since this Loan has a 10-year term, no SBA prepayment penalty applies. However, if Borrower prepays 25% or more of the outstanding balance in any 12-month period, Borrower shall provide 30 days' prior written notice.

Section 2.5 Fees. (a) SBA Guarantee Fee: \$73,500, due at closing (may be financed into the Loan). (b) Lender's Origination Fee: \$28,000 (1.00% of Loan Amount). (c) Lender's Packaging Fee: \$2,500. (d) SBA Annual Service Fee: 0.55% of outstanding guaranteed balance, payable to SBA annually.

Section 2.6 Disbursement. Proceeds shall be disbursed per the Disbursement Schedule in Exhibit B. Equipment and leasehold improvement proceeds shall be paid directly to vendors. Working capital proceeds shall be deposited into Borrower's business checking account.

ARTICLE III — SBA REQUIREMENTS AND COMPLIANCE

Section 3.1 SBA Eligibility. Borrower represents that it meets all SBA eligibility requirements, including: (a) it is a for-profit small business as defined by SBA size standards (NAICS 722511, Revenue under \$8M); (b) it is not engaged in any ineligible business; (c) Borrower and Guarantors are U.S. citizens or lawful permanent residents; (d) it has been unable to obtain financing on reasonable terms elsewhere.

Section 3.2 Use of Proceeds. Borrower shall use the Loan proceeds solely for the Loan Purpose stated herein and in the SBA Authorization. Any change in use of proceeds requires SBA prior approval.

Section 3.3 SBA Audit Rights. Borrower acknowledges that the SBA, the U.S. Comptroller General, and their representatives may, at any reasonable time, examine all books, records and accounts of Borrower relating to this Loan.

Section 3.4 Equity Injection. Borrower shall contribute equity of not less than \$700,000 toward the project prior to or concurrently with the initial Loan disbursement. Evidence of equity injection must be provided to Lender.

Section 3.5 SBA Forms. Borrower has completed and submitted all required SBA forms including SBA Form 1919 (Borrower Information), SBA Form 912 (Statement of Personal History), and IRS Form 4506-C (Tax Transcript Authorization).

Section 3.6 Job Creation / Retention. Borrower agrees to use its best efforts to create or retain at least 10 full-time equivalent jobs within 2 years of Loan closing.

ARTICLE IV — COLLATERAL AND SECURITY

Section 4.1 Business Assets. Borrower grants Lender a first-priority security interest in all present and future business assets, including equipment, furniture, fixtures, inventory, accounts receivable, general intangibles and all

proceeds. Lender will file a UCC-1 covering all such assets.

Section 4.2 Personal Guaranty. Each Guarantor has executed an unconditional personal guaranty of all Obligations. The personal guaranty is required under SBA regulations for all owners of 20% or more.

Section 4.3 Life Insurance. Within 90 days of closing, Borrower shall deliver to Lender an assignment of a key-man life insurance policy on Patricia Greenleaf with a death benefit of not less than \$1,400,000, with Lender named as sole beneficiary to the extent of the outstanding Loan balance.

Section 4.4 SBA Collateral Policy. In accordance with SBA policy, Lender has taken all available collateral to secure the Loan. Lender's decision not to require additional collateral does not affect the validity of the Loan or Borrower's obligation to repay.

ARTICLE V — COVENANTS

Section 5.1 Financial Reporting. Borrower shall provide Lender with: (a) annual business tax returns within 30 days of filing; (b) annual CPA-prepared financial statements within 120 days of fiscal year-end; (c) quarterly profit and loss statements within 30 days of quarter-end; (d) Guarantors' personal tax returns within 30 days of filing.

Section 5.2 Financial Covenants. Borrower shall maintain on a trailing 12-month basis: (a) Debt Service Coverage Ratio (Net Operating Income / Total Annual Debt Service) of not less than 1.25:1.00; (b) working capital (current assets minus current liabilities) of not less than \$150,000.

Section 5.3 Operating Covenants. Borrower shall: (a) maintain all business licenses and health department permits; (b) remain principally in the hospitality/food service business; (c) maintain all business locations in good repair; (d) not change its principal business without SBA approval; (e) notify Lender immediately of any material adverse change.

Section 5.4 SBA Compliance. Borrower shall comply with all SBA requirements as set forth in the Authorization, SBA Form 147, and applicable SBA Standard Operating Procedures (SOPs), including SOP 50 10 and SOP 50 57.

ARTICLE VI — EVENTS OF DEFAULT AND REMEDIES

Events of Default include: (a) failure to make any payment within 10 days of due date (Note: SBA requires 60 days before Lender may declare default and liquidate); (b) misuse of Loan proceeds; (c) any false representation; (d) bankruptcy or insolvency; (e) loss of key business license; (f) material adverse change in Borrower's business; (g) breach of any covenant not cured within 30 days of notice.

Remedies: Lender shall follow SBA's Servicing and Liquidation requirements, including required notification to the SBA District Office prior to declaring default or initiating liquidation. Upon default: (i) all amounts become immediately due; (ii) Lender may exercise all rights under the security agreement and guaranty; (iii) Lender shall submit an SBA Lender's Default Report and pursue the SBA Guarantee in accordance with SBA SOPs.

ARTICLE VII — GENERAL PROVISIONS

Governing Law: Federal law; and, to the extent not preempted, the laws of the State of Georgia. **SBA as Third-Party Beneficiary:** The SBA is an intended third-party beneficiary of this Agreement and may enforce its terms directly. **Equal Credit Opportunity:** Lender certifies it has not discriminated in making this Loan. **Notices:** Borrower: 2200 Peachtree Road NW, Atlanta, GA 30309; Lender: 500 West Peachtree Street, Atlanta, GA 30308. **Modifications:** No modification of SBA-mandated terms without SBA prior approval.

IN WITNESS WHEREOF, the parties have executed this SBA 7(a) Loan Agreement as of the date first written above.

GREENLEAF HOSPITALITY GROUP, INC.
a Georgia corporation

PATRIOT COMMUNITY BANK
a Georgia-chartered commercial bank

By: _____

By: _____

Name: _____

Name: _____

Title: _____

Title: _____

Patricia Greenleaf, Guarantor (Individual)

James Greenleaf, Guarantor (Individual)

Signature: _____

Signature: _____